



INVESTOR CHOICE ADVOCATES NETWORK

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June 8, 2026

Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549

Via email: rule-comments@sec.gov

Re: Comment Letter in Support of Proposed Amendments to Allow Optional Semiannual Reporting

Release Nos. 33-11414; 34-105368; IC-36140 (May 5, 2026)
File No. S7-2026-15

Dear Commissioners and Staff:

The Investor Choice Advocates Network (“ICAN”) appreciates the opportunity to comment on the Securities and Exchange Commission’s proposed rule to allow public companies to file semiannual reports on new Form 10-S in lieu of quarterly reports on Form 10-Q (“Proposed Rule”).¹ ICAN is a nonprofit public interest law firm and advocacy organization dedicated to expanding access to capital markets and protecting the fundamental right of investors to make their own informed financial decisions.

ICAN supports the Proposed Rule and its expansion of investor choice. The ability of investors to freely choose where to invest their capital is a cornerstone of efficient markets, and the Proposed Rule advances that principle by giving investors and companies alike the ability to choose a reporting cadence that best reflects their needs. Critics argue that less frequent mandatory reporting harms retail investors by reducing available information. As discussed below, this concern, while sincere, gives investors too little credit and the government too much, for we share the critics’ commitment to keeping retail investors informed and simply trust that investors, given the choice, will demand the information they need. The market, not regulators, is best positioned to determine the optimal level of reporting frequency.

1. The Proposed Rule Expands Investor Choice Without Reducing Anyone’s Options

A threshold point frequently overlooked by critics is that the Proposed Rule takes nothing away from any investor. Any company that wishes to continue filing quarterly reports on Form 10-Q may continue to do so. Any investor who values frequent disclosure may simply choose to

¹Proposed Rule: Semiannual Reporting, Release Nos. 33-11414; 34-105368; IC-36140, at 2 (May 5, 2026), available at <https://www.sec.gov/files/rules/proposed/2026/33-11414.pdf>.



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invest in quarterly-filing companies. The Proposed Rule is strictly additive: it creates a new option for companies and investors, not a mandate.

This is the essence of investor choice. Markets function best when participants can sort themselves by preference. Not every investor wants the same thing: some want quarterly checkpoints, while others prefer companies freed from the pressure of quarterly targets. The Proposed Rule enables both groups to act on their preferences simultaneously. Denying companies the option to report semiannually forecloses choices for investors who might prefer companies freed from the expense and short-termism that quarterly earnings guidance can produce.

Critics who favor mandatory quarterly reporting implicitly assume that market discipline is insufficient to protect investors who prefer more frequent disclosure. That assumption is unwarranted. A company that elects semiannual reporting over the objections of its shareholder base will face swift market consequences: reduced trading volume, diminished analyst coverage, and a higher cost of capital. Institutional and retail investors alike can, and will, express their preference through their investment decisions, avoiding semiannual filers in favor of companies that report quarterly.

A less liquid stock means fewer analysts, costlier fundraising, and a weaker position in capital transactions and hiring. The market creates these pressures on its own, without any regulatory mandate. As one prominent financial commentator noted shortly after the Proposed Rule was released, large established companies are unlikely to shift to semiannual reporting precisely because their investors expect quarterly updates and the companies understand the market cost of disappointing that expectation.² The Commission need not mandate what the market will effectively require. ICAN's mission is to expand market access and protect investor autonomy. A rule that gives investors more choices is precisely the kind of market-expanding reform we support.

The mandatory quarterly reporting requirement also implicates a deeper structural concern. Congress designed the Exchange Act's periodic reporting framework as a disclosure regime — one intended to ensure that investors receive the information they need to make their own investment decisions, not to restrict which investment options are available to them in the first place. A merits-based regulator substitutes the government's judgment for the investor's by prohibiting access to investments the regulator deems insufficiently attractive; a disclosure-based regulator ensures that investors receive full and accurate information and then trusts them to decide. The existing mandatory quarterly reporting rule, to the extent it bars investors from accessing public companies that would choose to report semiannually, functions as the former: it withholds market access not because any required disclosure has been omitted, but because a regulator has deemed quarterly reporting to be a precondition for participation. The Proposed Rule corrects this structural drift by returning the reporting-frequency decision to companies and investors, consistent with the

²Matt Levine, *Sometimes Andrew Left Was Right*, Bloomberg Opinion (May 18, 2026), available at <https://www.bloomberg.com/opinion/newsletters/2026-05-18/sometimes-andrew-left-was-right>.



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Exchange Act's foundational commitment to informed investor choice over government-imposed merit judgments.³

2. The “Less Information” Criticism Does Not Withstand Scrutiny

The most common objection to the Proposed Rule is that quarterly reports provide investors with more information, and therefore their elimination would harm retail investors. This concern deserves a direct response.

First, switching to semiannual reporting does not give companies a pass on disclosing material news. Under Form 8-K, companies are already required to report significant developments promptly as they occur, such as earnings surprises, executive changes, mergers, regulatory actions, and dozens of other triggering events, and the Proposed Rule leaves those obligations entirely intact. Semiannual filers will continue to report material developments as they arise. The Proposed Rule reduces the frequency of scheduled interim reports; it does not create a disclosure blackout.

Second, the “more information is always better” argument confuses quantity with quality. As Harvard Law Professor Hal Scott, Director of the Committee on Capital Markets Regulation, has observed, the quarterly reporting regime is closely intertwined with the practice of issuing quarterly earnings guidance, a practice widely cited as a driver of “short-termism,” pushing management to optimize for meeting three-month earnings estimates rather than long-term value creation.⁴ Academic research reinforces this concern: empirical studies have documented that increased reporting frequency is associated with a meaningful decline in corporate investment and an increase in real earnings management—findings consistent with the short-termism hypothesis.⁵ A leading comment letter submitted to this proceeding by Professor Stephen Bainbridge of UCLA

³ See Ronald J. Colombo, *Merit Regulation via the Suitability Rules*, 12 J. Int'l Bus. & L. 1 (2013), available at <https://scholarlycommons.law.hofstra.edu/jibl/vol12/iss1/2> (describing the distinction between disclosure-based and merits-based securities regulation and noting that Congress, in establishing the federal securities regulatory framework, deliberately rejected merit regulation in favor of a disclosure-based approach that leaves investment decisions to investors).

⁴ See ThinkAdvisor, Harvard Law Prof on Ending Quarterly Reports, Mandatory Arb: SEC Roundup (Oct. 28, 2025), available at <https://www.thinkadvisor.com/2025/10/28/harvard-law-prof-on-ending-quarterly-reports-mandatory-arb-sec-roundup/> (quoting Harvard Law Professor Hal Scott, Director of the Committee on Capital Markets Regulation).

⁵ See, e.g., Ernstberger, J., Link, B., Stich, M., & Vogler, O. (2017). The real effects of mandatory quarterly reporting. *The Accounting Review*, 92(5), 33–60, <https://doi.org/10.2308/accr-51705> (finding that EU firms mandated to switch from semiannual to quarterly reporting showed increased real earnings management, consistent with higher short-termism); Kraft, A.G., Vashishtha, R., & Venkatachalam, M. (2018). Frequent financial reporting and managerial myopia. *The Accounting Review*, 93(2), 249–275, <https://doi.org/10.2308/accr-51838> (documenting a large, persistent decline in corporate investment following increased reporting frequency, consistent with managerial myopia); Gigler, F., Kanodia, C., Sapiro, H., & Venugopalan, R. (2014). How frequent financial reporting can cause managerial short-termism: An analysis of the costs and benefits of increasing reporting frequency. *Journal of Accounting Research*, 52(2), 357–387, <https://doi.org/10.1111/1475-679X.12043> (developing a theoretical model showing that more frequent reporting can increase the probability of inducing managerial short-termism).



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School of Law similarly concludes that mandatory quarterly reporting rests on weak theoretical foundations, because market forces, anti-fraud liability, and event-driven disclosure requirements can deliver adequate investor information without a rigid reporting mandate.⁶ Quarterly reports that principally confirm or miss guidance targets may generate less genuinely useful information for long-term investors than less frequent but more substantive disclosures focused on business strategy and multi-year performance.

Third, and most importantly, the international evidence refutes the prediction that eliminating mandatory quarterly reporting will leave investors in the dark. The United Kingdom repealed its quarterly reporting mandate in 2014. The European Union did the same in 2013, having introduced a quarterly requirement only in 2004.⁷ In both jurisdictions, many public companies continue to report quarterly on a voluntary basis, exactly what market forces would predict.⁸ Investors who want quarterly reports from UK and EU companies can get them, because companies understand that voluntarily providing information investors value serves their own interests. The same dynamic will operate in U.S. markets under the Proposed Rule.

3. Reducing Compliance Costs Strengthens U.S. Public Markets

Beyond investor choice, the Proposed Rule serves a compelling public-interest goal: reducing the regulatory burden that has contributed to the declining number of publicly traded companies in the United States and the lengthening of private holding periods. The Commission's own economic analysis estimates that filing three quarterly reports per year imposes approximately \$330,000⁹ in annual direct compliance costs per issuer before accounting for the cost of the Form 10-K, costs the SEC expects will be meaningfully reduced under the Proposed Rule, with the savings reinvested in business operations, growth, and long-term strategy.¹⁰

For large, established companies, this cost is manageable. For newly public companies, smaller issuers, and companies in capital-intensive industries, it is a significant diversion of resources from research and development, hiring, and capital investment. The burden of quarterly

⁶See Bainbridge, S.M. (2026). Letter of comment re proposed amendments to Exchange Act Rules 13a-13 and 15d-13—optional semi-annual reporting in lieu of quarterly reports on Form 10-Q. UCLA School of Law, Law-Econ Research Paper No. 26-04, available at <https://ssrn.com/abstract=6750300> (arguing that mandatory quarterly reporting rests on weak theoretical foundations because market forces, anti-fraud rules, and event-based disclosures can often produce adequate information without a rigid mandate).

⁷Matthew Kaplan, Paul Rodel, and Steven Slutzky, The End of Quarterly Reporting in the United States?, Harvard Law School Forum on Corporate Governance (Oct. 5, 2025), available at <https://corpgov.law.harvard.edu/2025/10/05/the-end-of-quarterly-reporting-in-the-united-states/>.

⁸Id.; see also Bornemann, T., Moosmann, A.L., & Novotny-Farkas, Z. (2025). The consequences of abandoning the quarterly reporting mandate in the prime market segment. *European Accounting Review*, 34(1), 89–122, <https://doi.org/10.1080/09638180.2023.2239298> (finding that after Austria's Vienna Stock Exchange deregulated quarterly reporting, most firms continued to report quarterly voluntarily, driven by the information needs of their institutional investors and analyst communities).

⁹Proposed Rule, Release No. 33-11414, at 105.

¹⁰Hogan Lovells, SEC Proposes to Permit Semiannual Instead of Quarterly Reporting, SEC Update (May 26, 2026).



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compliance is frequently cited as a factor in the decision of growth-stage companies to remain private longer, a concern the Proposed Rule directly addresses, as reduced compliance costs are expected to encourage more private companies to enter and remain in the public markets.¹¹ The Proposed Rule addresses this dynamic directly, making U.S. public markets more accessible and competitive.

New companies often have little of substance to report on a quarterly basis beyond continued investment of capital in early-stage development activities.¹² Requiring these companies to produce costly quarterly reports primarily to confirm that their business plan has not materially changed is an inefficient use of both company resources and Commission staff time. The Proposed Rule appropriately gives these companies the option to report semiannually, preserving capital for productive use while maintaining annual and event-driven disclosures.

The Proposed Rule also complements the Commission's concurrent registered offering reform proposal (Release No. 33-11418), which would dramatically expand Form S-3 eligibility to early-stage issuers regardless of public float or exchange-listing status—precisely the companies that benefit most from semiannual reporting.¹³ For these companies, investor valuations are driven primarily by milestone achievement, not incremental revenues or earnings, and those milestones are already captured in Form 8-K filings. Quarterly profit and loss reports and balance sheet changes provide little additional analytical value, and while cash flow remains a legitimate concern, semiannual disclosure supplemented by event-driven Form 8-K reporting adequately addresses it. Together, semiannual reporting and expanded Form S-3 access create a coherent, lower-friction pathway for early-stage issuers to raise capital while maintaining disclosure standards appropriate to their lifecycle.

Critics may counter that pairing expanded capital-raising access with reduced reporting frequency creates an information gap precisely when investors are most vulnerable, particularly for early-stage companies spending large amounts of cash between semiannual filings. Existing law already addresses this concern: material impairments (Item 2.06), covenant defaults and debt acceleration (Item 2.04), and the creation of material financial obligations (Item 2.03) all trigger Form 8-K disclosure within four business days.¹⁴ Moreover, each Form S-3 shelf offering incorporates the company's most recent Exchange Act filings by reference, supplementing rather

¹¹David Hooper and Mikaela Heck, SEC Proposes Semiannual Reporting: Is It Right for Your Company?, Barnes & Thornburg LLP (May 22, 2026), available at <https://btlaw.com/en/insights/alerts/2026/sec-proposes-semiannual-reporting>.

¹²See Baker McKenzie, United States: SEC Proposes Optional Semiannual Reporting, Insight (May 2026), available at <https://www.bakermckenzie.com/en/insight/publications/2026/05/united-states-sec-proposes-optional-semiannual-reporting>; see also Jackson Walker LLP, Goodbye 10-Q? SEC Proposes Semiannual Reporting Option for Public Companies with New Form 10-S (May 20, 2026), available at <https://www.jw.com/news/insights-sec-semiannual-reporting-change/>.

¹³Press Release, U.S. Securities and Exchange Commission, Registered Offering Reform, Release Nos. 33-11418; 34-105513; IC-36160, File No. S7-2026-17 (May 19, 2026), available at <https://www.sec.gov/rules-regulations/2026/05/s7-2026-17>.

¹⁴Cooley LLP, Triggering Events for Form 8-K (rev. Dec. 2023), available at <https://www.cooley.com/resource/triggering-events-for-form-8-k>.



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than undermining the semiannual disclosure calendar.¹⁵ The federal securities laws provide a further layer of protection that quarterly reporting cannot replicate.¹⁶ Investors who acquire securities in a registered offering have private rights of action under Securities Act Sections 11 and 12(a)(2) for material misstatements or omissions, and underwriters, accountants, directors, and other signatories face strict liability for such misstatements. This incentivizes all parties to ensure the accuracy and completeness of disclosures at the time of each offering regardless of when interim reports are due.¹⁷

4. The Proposed Rule Preserves Meaningful Disclosure Standards

ICAN also wishes to highlight that the Proposed Rule is carefully designed to preserve the quality of disclosure for companies that elect semiannual reporting. New Form 10-S would require the same narrative disclosures and financial information currently required by Form 10-Q, covering a six-month fiscal period rather than a quarter.¹⁸ Auditor review of semiannual financial statements would remain required. The filing deadlines for Form 10-S align with those for Form 10-Q (40 or 45 days depending on filer status).¹⁹ The Proposed Rule offers a genuine middle path: a structured, auditor-reviewed semiannual report, not a regulatory free-for-all.

¹⁵Sichenzia Ross Ference Carmel LLP, Utilizing a Shelf Registration Statement for a Follow-on Public Offering, available at <https://srfc.law/wp-content/uploads/2025/09/Utilizing-a-Shelf-Registration-Statement-for-a-Follow-on-Public-Offering.pdf>.

¹⁶Proposed Rule, Release No. 33-11414, at n.66 (noting that investors in public companies are protected by liability provisions of the federal securities laws applicable to public company disclosures, including Securities Act Section 11 and Exchange Act Section 18).

¹⁷Registered Offering Reform, Release No. 33-11418, 91 Fed. Reg. 31037 (May 26, 2026), available at <https://www.govinfo.gov/content/pkg/FR-2026-05-26/pdf/2026-10373.pdf>.

¹⁸See Proposed Rule at 4–5; Fact Sheet at 2.

¹⁹Press Release, U.S. Securities and Exchange Commission, SEC Proposes Amendments to Permit Optional Semiannual Reporting by Public Companies (May 5, 2026), available at <https://www.sec.gov/newsroom/press-releases/2026-42-sec-proposes-amendments-permit-optional-semiannual-reporting-public-companies>.



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Conclusion

The Proposed Rule represents a thoughtful, market-respecting reform that expands investor choice, reduces unnecessary compliance burdens, and aligns U.S. reporting practices with international standards. The concerns raised by critics, while sincere, give investors too little credit and the government too much. ICAN trusts that investors can and will make those judgments for themselves. ICAN supports the Commission in finalizing the Proposed Rule for the reasons set forth above.

Thank you.

Respectfully submitted,

Nicolas Morgan, President
Investor Choice Advocates Network